

Olympiad Test Paper — Social Science (Class 7)

Chapter 12: Understanding Markets

Subject	Social Science (NCERT Class 7)
Chapter	12 — Understanding Markets
Total Questions	60 (Multiple Choice, single correct)
Maximum Marks	240
Suggested Time	90 minutes

Marking scheme: +4 for each correct answer · –1 for each wrong answer · 0 if unattempted.

Instructions: Each question has four options (A), (B), (C), (D); exactly one is correct. Watch the classic traps: a market is ANY arrangement with buyers, sellers and a price - online counts, not just a physical shop; the cheapest price is NOT always best (too low and the seller stops selling) - the 'just right' price balances both sides; more demand against limited supply pushes price UP, not down; and middlemen (wholesalers, distributors, retailers) ADD value rather than being useless. Match the certification marks (FSSAI food, ISI/BIS goods, AGMARK farm produce, BEE Star energy) correctly. Do not write on this paper — mark answers on your answer sheet.

1. A 'market' is best described as:

- (A) only a large building with many shops
- (B) only an online shopping app
- (C) only a government office
- (D) any arrangement, physical or online, where people buy and sell goods and services

2. The claim 'a market is always a physical place you can walk into' is wrong because:

- (A) markets exist only inside malls
- (B) only village haats are real markets
- (C) a market can be an online app or website too - what makes it a market is the exchange, not the building
- (D) markets never involve money

3. The 16th-century Hampi Bazaar is used in the chapter as an example of a:

- (A) modern shopping app
- (B) government tax office
- (C) grand historical market
- (D) certification mark

4. Markets exist mainly because people:

- (A) are forbidden to make anything at home
- (B) must obey the government's shopping orders

- (C) want to avoid all trade
- (D) have needs and wants they cannot all produce themselves

5. The difference between a 'need' and a 'want' is best shown by:

- (A) both are exactly the same thing
- (B) needs are luxuries and wants are essentials
- (C) only the government decides which is which
- (D) food and water are needs, while a video game is a want

6. Every market must have at least:

- (A) a king, an army and a temple
- (B) gold coins and nothing else
- (C) buyers, sellers and an agreed price
- (D) a government inspector present at all times

7. The 'price' in a market is:

- (A) always fixed by the buyer alone
- (B) the cost of building the shop
- (C) the amount at which a buyer will buy and a seller will sell
- (D) a tax paid to the government

8. If a market has goods and sellers but no one willing to buy, it lacks a key feature:

- (A) buyers
- (B) sellers
- (C) goods
- (D) a building

9. 'Negotiation' (bargaining) in a market is:

- (A) the government setting one fixed price for all
- (B) a tax added at the till
- (C) the study of old coins
- (D) buyer and seller discussing until they agree on a price

10. A 'just right' price is one that is:

- (A) as low as absolutely possible, even at a loss to the seller
- (B) high enough for the seller to profit and low enough for the buyer to be willing to pay
- (C) as high as the seller can possibly demand
- (D) always set by the buyer alone

11. The belief 'the lower the price, the better; a seller should always sell as cheap as possible' is wrong because:

- (A) low prices are illegal
- (B) too low a price means no profit or a loss, so the seller may stop selling
- (C) buyers dislike low prices
- (D) the government bans cheap goods

12. A buyer offers 40 rupees and the seller asks 60 rupees; they settle at 50 rupees. This settling is an example of:

- (A) a government subsidy
- (B) negotiation reaching a 'just right' price
- (C) an export deal
- (D) a certification mark

13. 'Demand' is:

- (A) the quantity sellers are willing to sell
- (B) the cost of making a good
- (C) the quantity consumers are willing and able to buy at a particular price

(D) the tax on a good

14. 'Supply' is:

- (A) the quantity consumers wish to buy
- (B) the quantity sellers are willing and able to sell at a particular price
- (C) the price printed on a pack
- (D) the government's subsidy

15. The claim 'when more people want something, its price falls' is wrong because:

- (A) more demand always lowers the price
- (B) demand has no effect at all on price
- (C) only the government sets all prices
- (D) when many buyers chase a limited supply, the price usually RISES

16. In general, demand pushes price _____ and plentiful supply pushes price _____.

- (A) down ... up
- (B) up ... up
- (C) up ... down
- (D) down ... down

17. The 'just right' market price is found:

- (A) where demand and supply meet
- (B) where demand is zero
- (C) where supply is zero
- (D) where the government forbids all sales

18. A sudden shortage of onions, with demand unchanged, will most likely make their price:

- (A) fall to zero
- (B) rise
- (C) stay exactly the same forever
- (D) become illegal

19. The claim 'if there is no physical shop, there is no real market' is wrong because:

- (A) online stores never have prices
- (B) only buildings can host trade
- (C) online sellers are not real sellers
- (D) an online store with buyers, sellers and prices is just as much a market as a haat or mall

20. An example of an 'online market' is:

- (A) a shopping app where many sellers offer goods to buyers
- (B) the 16th-century Hampi Bazaar
- (C) a weekly village haat
- (D) a city shopping mall

21. A 'haat' is:

- (A) a permanent online app
- (B) a market open every single day
- (C) a government tax office
- (D) a periodic rural market that gathers on fixed days of the week

22. A 'domestic' market is one in which trade happens:

- (A) between two or more different countries
- (B) within a single country
- (C) only on the internet
- (D) only in ancient times

23. 'Export' means:

- (A) buying goods from another country and bringing them home
- (B) selling goods within one's own village
- (C) storing goods in a warehouse
- (D) selling goods produced in one country to a buyer in another country

24. 'Import' means:

- (A) selling one's goods to another country
- (B) buying goods from other countries and bringing them into one's own
- (C) making goods in a factory
- (D) holding a periodic rural market

25. India buying crude oil from another country is an example of:

- (A) an import
- (B) an export
- (C) a domestic sale
- (D) a subsidy

26. A 'wholesaler' is a trader who:

- (A) buys goods in bulk from producers and sells them to retailers
- (B) sells small quantities directly to final consumers
- (C) uses up the goods as the final buyer
- (D) inspects goods for the government

27. A 'retailer' is a shopkeeper who:

- (A) buys in bulk from producers to resell to shops
- (B) manufactures the goods
- (C) sells goods in small quantities to final consumers for use
- (D) exports goods abroad

28. The main difference between a wholesaler and a retailer is that a wholesaler:

- (A) deals in bulk and sells to retailers, while a retailer sells small amounts to consumers
- (B) sells to consumers, while a retailer buys in bulk
- (C) makes the goods, while a retailer exports them
- (D) inspects goods, while a retailer taxes them

29. Buying a single notebook from a neighbourhood shop is buying from a:

- (A) retailer
- (B) wholesaler
- (C) producer
- (D) exporter

30. A 'distributor' mainly:

- (A) uses up the goods as the final consumer
- (B) prints the MRP on packs
- (C) supplies goods from manufacturers and wholesalers to retailers, especially across distances
- (D) sets the country's tax rates

31. An 'aggregator' is:

- (A) a factory that makes the goods
- (B) a website or app that combines offers from multiple sellers in one place

(C) a single shop with one owner (D) a government inspector

32. A food-delivery app that lists dishes from many different restaurants is acting as an:

- (A) producer (B) aggregator
(C) wholesaler (D) exporter

33. The usual chain from maker to user runs:

- (A) consumer, then retailer, then producer, then wholesaler
(B) retailer, then producer, then consumer, then wholesaler
(C) producer, then wholesaler, then distributor, then retailer, then consumer
(D) consumer, then producer, then retailer, then wholesaler

34. In the supply chain, the 'consumer' is the:

- (A) trader who buys in bulk to resell (B) factory that makes the good
(C) person who finally buys and uses the good (D) app that lists many sellers

35. The Surat textile market is used in the chapter to illustrate:

- (A) an online aggregator app (B) a government tax office
(C) a certification mark for food
(D) a real-life supply chain moving cloth from producers to consumers

36. In the Surat textile example, the goods pass through several hands before reaching you because:

- (A) each step (bulk buying, distribution, retailing) moves the cloth closer and in usable quantities to the buyer
(B) the law requires exactly five owners
(C) the cloth must be taxed at each separate shop
(D) consumers are forbidden to buy directly

37. The belief 'middlemen like wholesalers and retailers are useless and just make things expensive' is wrong because they:

- (A) do nothing at all in the chain (B) only raise prices with no benefit
(C) replace the producers entirely
(D) add real value - buying in bulk, storing, reaching far shops and splitting goods into small amounts

38. A wholesaler buying 1,000 shirts and a retailer selling them one at a time near your home shows that middlemen:

- (A) serve no purpose and waste money
(B) make goods more convenient to buy in small, nearby quantities
(C) force everyone to buy 1,000 shirts at once
(D) stop goods from ever reaching consumers

39. Without retailers, an ordinary buyer wanting just one item would have to:

- (A) pay no money at all
- (B) get the item free from the government
- (C) never obtain the item under any circumstances
- (D) buy in bulk straight from producers, which is costly and inconvenient

40. Beyond making money, markets benefit society by:

- (A) keeping different communities strictly apart
- (B) banning all conversation between people
- (C) serving only the government
- (D) building trusted relationships and acting as melting pots of culture

41. The Ima Keithal of Imphal is notable because it is:

- (A) a famous market run by women
- (B) an online food-delivery app
- (C) a government tax office
- (D) a certification mark for cloth

42. The Ima Keithal example best supports the idea that markets:

- (A) can be social and cultural centres, not just places to make money
- (B) are only ever run by the government
- (C) never involve women
- (D) exist only online

43. Saying a market is a 'melting pot of culture' means it:

- (A) melts metal to make coins
- (B) brings together people, traditions and ideas from many backgrounds
- (C) keeps each culture entirely separate
- (D) sells only one kind of food

44. One role of the government in markets is to:

- (A) personally buy everything for every citizen
- (B) ban all private selling
- (C) control prices and ensure quality and safety
- (D) set the price of nothing at all

45. A 'subsidy' is:

- (A) a tax added to every purchase
- (B) the highest price printed on a pack
- (C) money the government gives to lower a price or support producers
- (D) a periodic rural market

46. By giving farmers a subsidy on seeds, the government aims to:

- (A) lower the cost and support the producers
- (B) raise the price for buyers as much as possible
- (C) ban farming
- (D) tax the farmers more

47. 'Public goods' are:

- (A) goods sold only to the richest buyers
- (B) services or commodities accessible to all, whose use by one does not use them up for others, usually provided by the government
- (C) goods that vanish after one person uses them
- (D) goods made only for export

48. Which is the best example of a public good?

- (A) a chocolate bar bought and eaten by one child
- (B) a single shirt sold to one buyer
- (C) a privately owned bicycle
- (D) a public street light that everyone can use

49. The government curbs pollution from markets and factories mainly to:

- (A) protect society and the environment
- (B) raise the price of pollution for profit
- (C) help factories pollute more
- (D) ban all manufacturing

50. The FSSAI certification mark on a product tells a consumer that the item is:

- (A) a food product that meets safety standards
- (B) an electrical appliance rated for energy use
- (C) a graded agricultural product
- (D) an industrial item meeting ISI standards

51. The ISI / BIS mark mainly assures the quality of:

- (A) packaged food only
- (B) industrial and manufactured goods meeting Indian standards
- (C) fresh farm produce only
- (D) the energy efficiency of appliances

52. The AGMARK certification is used for:

- (A) electrical appliances' energy use
- (B) agricultural products, showing they are graded for quality
- (C) packaged drinking water's electrical safety
- (D) industrial machine parts

53. The BEE Star label on a refrigerator tells a buyer about its:

- (A) food safety
- (B) energy efficiency
- (C) agricultural grade
- (D) Persian market origin

54. A shopper wanting a safe packaged snack should look for the _____ mark, while one buying an energy-saving fan should look for the _____ label.

- (A) BEE Star ... FSSAI
- (B) AGMARK ... ISI
- (C) FSSAI ... BEE Star
- (D) ISI ... AGMARK

55. 'MRP' printed on a pack is the:

- (A) maximum price, taxes included, at which the product may be sold to a consumer
- (B) minimum price a seller must charge
- (C) tax-free factory cost
- (D) price only wholesalers pay

56. A shop tries to sell a snack above its printed MRP. This is:

- (A) not allowed, because MRP is the maximum a consumer may be charged
- (B) perfectly fine, since MRP is only a suggestion
- (C) required by law every time
- (D) the same thing as a subsidy

57. To judge a product's quality before buying online, a consumer can use:

- (A) only the brightness of the advertisement
- (B) only the seller's promises
- (C) nothing but the price

(D) certification marks, labels and other buyers' reviews

58. A 'bazaar' is:

(A) a periodic market held only on fixed days (B) an online aggregator app

(C) a government subsidy

(D) a permanent market of many shops along streets or in an enclosure

59. 'Commerce' means:

(A) the printing of bank notes

(B) the study of old coins

(C) the buying and selling of goods and services on a large scale

(D) a periodic rural market

60. A student says, 'The cheapest seller is always best, and an online store isn't a real market.' The best correction is:

(A) the cheapest seller is always best, and online stores are not markets

(B) only malls are markets, and prices do not matter

(C) a 'just right' price keeps sellers in business, and any place - online or physical - with buyers, sellers and a price is a market

(D) markets need neither buyers nor sellers

Solutions — Social Science (Class 7), Chapter 12: Understanding Markets

Marking: +4 correct, –1 wrong, 0 unattempted. Maximum marks **240**.

Answer Key

Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans	Q	Ans
1	D	11	B	21	D	31	B	41	A	51	B
2	C	12	B	22	B	32	B	42	A	52	B
3	C	13	C	23	D	33	C	43	B	53	B
4	D	14	B	24	B	34	C	44	C	54	C
5	D	15	D	25	A	35	D	45	C	55	A
6	C	16	C	26	A	36	A	46	A	56	A
7	C	17	A	27	C	37	D	47	B	57	D
8	A	18	B	28	A	38	B	48	D	58	D
9	D	19	D	29	A	39	D	49	A	59	C
10	B	20	A	30	C	40	D	50	A	60	C

Answer-key distribution: A = 15, B = 15, C = 15, D = 15.

Worked Solutions

- (D)** A market is any arrangement where buying and selling happen, physical or online. It is not limited to a building, an app, or a government office.
- (C)** A market is defined by buying and selling at a price, which can happen online. It is not mall-only, haat-only, or money-free.
- (C)** Hampi Bazaar illustrates a glorious historical market. It is not an app, a tax office, or a certification mark.
- (D)** Markets exist so people can obtain the goods and services they need and want but cannot all make themselves. They are not about a home-making ban, government orders, or avoiding trade.
- (D)** Needs are essentials like food and water; wants are extras like a video game. The terms are not identical, not reversed, and not government-decided.
- (C)** A market needs buyers, sellers and an agreed price. A king/army/temple, gold coins alone, or a permanent inspector are not the defining features.

- 7. (C)** Price is the amount at which buyer and seller agree to trade. It is not buyer-only, the shop's building cost, or a tax.
- 8. (A)** Without willing buyers the market is missing one of its three essentials. Sellers and goods are present, and a building is not essential.
- 9. (D)** Negotiation is bargaining between buyer and seller to agree a price. It is not government price-fixing, a tax, or numismatics.
- 10. (B)** The 'just right' price balances the seller's profit and the buyer's willingness. It is not rock-bottom (loss-making), sky-high, or buyer-set.
- 11. (B)** A price too low leaves the seller with no profit or a loss, so they may quit selling - bad for everyone. Low prices are not illegal, disliked by buyers, or banned.
- 12. (B)** Bargaining from 40 and 60 to 50 rupees is negotiation arriving at a 'just right' price. It is not a subsidy, an export, or a mark.
- 13. (C)** Demand is what consumers will and can buy at a price. What sellers will sell is supply; making-cost and tax are different.
- 14. (B)** Supply is what sellers will and can sell at a price. What consumers want is demand; the printed price is MRP; government help is a subsidy.
- 15. (D)** Strong demand against limited supply tends to push price up, not down. Demand does affect price, and prices are usually not all government-set.
- 16. (C)** Demand pushes price up while plentiful supply pushes it down; the 'just right' price is where they meet. The other pairings are wrong.
- 17. (A)** The settling price is where demand and supply balance. Zero demand or supply, or a sales ban, would not yield a working price.
- 18. (B)** Less supply against steady demand pushes the price up. It does not fall to zero, stay fixed, or become illegal.
- 19. (D)** A market is wherever buyers and sellers meet at a price, including online. Online stores do have prices and real sellers, and trade needs no building.
- 20. (A)** A shopping app is an online market. Hampi Bazaar, a haat and a mall are physical markets.
- 21. (D)** A haat is a periodic rural market held on fixed days. It is not an app, a daily market, or a tax office.
- 22. (B)** A domestic market is trade within one country; an international market crosses borders. It is not internet-only or ancient-only.

- 23. (D)** Export is selling a country's goods to a buyer abroad. Buying from abroad is import; village selling and storage are neither.
- 24. (B)** Import is bringing in goods from abroad. Selling abroad is export; making goods is production; a periodic rural market is a haat.
- 25. (A)** Bringing oil in from abroad is an import. Selling abroad is export, trade within India is domestic, and a subsidy is government support.
- 26. (A)** A wholesaler buys in bulk from producers and sells to retailers. Selling small amounts to consumers is a retailer's job; the final buyer is a consumer; an inspector is a regulator.
- 27. (C)** A retailer sells small quantities to consumers. Bulk-buying for resale to shops is a wholesaler, making goods is a producer, and selling abroad is exporting.
- 28. (A)** Wholesalers handle bulk and sell to retailers; retailers sell small quantities to consumers. The other options reverse or confuse these roles.
- 29. (A)** A neighbourhood shop selling you one notebook is a retailer. A wholesaler sells in bulk, a producer makes goods, and an exporter sells abroad.
- 30. (C)** A distributor moves goods from makers and wholesalers to retailers, often over distances. The final user is a consumer; MRP and tax-setting are different.
- 31. (B)** An aggregator is an app or website organising many sellers' offers together. It is not a factory, a single shop, or an inspector.
- 32. (B)** Combining many sellers' offers in one app is an aggregator's role. A producer makes goods, a wholesaler sells bulk, and an exporter sells abroad.
- 33. (C)** Goods flow producer to wholesaler to distributor to retailer to consumer. The other orders scramble the chain.
- 34. (C)** The consumer is the final buyer and user. The bulk reseller is a wholesaler, the maker is a producer, and the listing app is an aggregator.
- 35. (D)** Surat's textile market shows a living supply chain for cloth. It is not an app, a tax office, or a food mark.
- 36. (A)** Each link adds value by moving and dividing the cloth toward the buyer. There is no five-owner law, per-shop tax rule, or ban on direct buying as the reason.
- 37. (D)** Middlemen add genuine value by bulk-buying, storing, distributing far and selling small near you, making goods cheaper to move and easier to buy. They are not useless or mere price-raisers, and they do not replace producers.

38. (B) The wholesaler-retailer split lets you buy a single shirt conveniently nearby - clear value. Middlemen are not purposeless, do not force bulk buying, and do help goods reach consumers.

39. (D) Without retailers you'd buy bulk directly from producers - costly and inconvenient, showing why retailers add value. It would not become free, government-given, or impossible.

40. (D) Markets build trust and mix cultures, connecting people, traditions and ideas. They do not separate communities, ban conversation, or serve only the government.

41. (A) The Ima Keithal of Imphal is a famous women-run market. It is not an app, a tax office, or a certification mark.

42. (A) A women-run cultural market shows markets as social and cultural centres. They are not government-only, womenless, or online-only.

43. (B) A 'melting pot' market mixes people, traditions and ideas. It is not literal metal-melting, culture-separating, or single-product.

44. (C) Governments help control prices and ensure quality and safety, among other roles. They do not buy everything, ban private trade, or stay entirely out of pricing.

45. (C) A subsidy (Latin subsidium, 'help') is government money to lower prices or support producers. A purchase tax, the printed MRP, and a haat are different.

46. (A) A seed subsidy lowers costs and supports producers. It does not aim to raise prices, ban farming, or tax farmers more.

47. (B) Public goods are available to all and not used up by one person's use, usually government-provided. They are not rich-only, single-use, or export-only.

48. (D) A street light serves everyone without being used up - a public good. A chocolate, a sold shirt and a private bicycle are private goods used by one owner.

49. (A) Curbing pollution protects society and the environment. It is not done for profit, to encourage pollution, or to ban all manufacturing.

50. (A) FSSAI marks food safety. Energy ratings are BEE Star, graded farm produce is AGMARK, and industrial standards are ISI/BIS.

51. (B) ISI/BIS marks industrial and manufactured goods to Indian standards. Food is FSSAI, farm produce AGMARK, and energy efficiency BEE Star.

52. (B) AGMARK grades agricultural produce. Energy use is BEE Star, and machine parts fall under ISI/BIS.

53. (B) The BEE Star label rates energy efficiency. Food safety is FSSAI, farm grading is AGMARK, and 'Persian market' refers to a bazaar.

54. (C) FSSAI signals food safety and BEE Star signals energy efficiency. The other pairings mismatch the marks.

55. (A) MRP is the highest price, including taxes, a consumer can be charged. It is not a minimum, a factory cost, or a wholesaler-only price.

56. (A) Charging above MRP is not allowed, as MRP is the legal maximum consumer price. It is not a mere suggestion, a requirement, or a subsidy.

57. (D) Marks, labels and genuine reviews help judge quality. Flashy ads, seller promises and price alone are unreliable guides.

58. (D) A bazaar (Persian) is a permanent market of many shops. A fixed-day market is a haat, an app is an aggregator, and a subsidy is government support.

59. (C) Commerce (Latin com- + merx, 'goods together') is large-scale buying and selling, the root of 'merchant' and 'e-commerce'. Note-printing, numismatics and a haat are different.

60. (C) Too-cheap selling can drive sellers out, so the 'just right' price matters; and a market is any arrangement with buyers, sellers and a price, including online. The other options repeat the misconceptions.